There is another manner in which wealth creation takes place. This is increase in valuation of assets, without making any direct impact on the working and contribution of the underlying productive assets. Bonds are valued at mark to market. If the interest rate goes up, the value of an existing bond goes down and if the interest rate goes down, the value of an existing bond goes up. Additional demand for equity shares listed on a stock exchange from FPIs makes their prices go up, which raises market capitalization (the measure of valuation of shares). The COVID-19 scare in March 2020 made investors in equity sell their shares, which crashed share prices from 15 per cent to 40 per cent all over the world. That did not change the available investment to the companies. Later, hopes of recovery and a vaccine brought share demand back and equity prices rose. In fact, they were higher at the end of December 2020 than December 2019 in most stock exchanges. Inflow of over $22 billion of FPI in the Indian equity market in calendar year 2020 saw the markets not only recover about 30 per cent of lost value but end the year on a record high. The availability of ultra-cheap money thanks to loose/accommodative monetary policies was followed by central banks driving up the valuations of financial and non-financial assets.

Real investment and valuation are the two primary forces that drive up or down (mostly up) the wealth of a country. The size of GDP and savings behaviour of households and existing stock of investments/capital formation determine the pace of growth of real wealth. When the existing stock of savings turns into a savings glut and is further supplemented and enlarged by loose monetary policies, the valuation of assets gets driven up and the wealth of nations gets jacked up by valuations.

The Valuation Game is a Distraction

There is a lot of temptation in valuations. Asset holders are happy if the valuation of their house, shares, gold or any other financial or non-financial